

BORROWER REVIEW | Q1 2026

Halsted Industrial Services | Prepared by Maya Okafor | Finalized May 20, 2026 | Status: Green (confirmed)

Summary

Q1 revenue of \$23.9M was 3.6% below the underwriting case and Adjusted EBITDA of \$4.15M was 11.9% below. Margin was 17.4% against the 19.0% underwriting assumption, the third straight quarterly decline. Management attributes the decline to technician wage inflation (IC memo risk R1). Total net leverage was 4.45x against a 5.50x maximum (19.1% headroom); FCCR was 1.41x against a 1.10x minimum. The compliance certificate matched our calculation.

Looking ahead

The leverage covenant steps down to 5.25x from the Q2 2026 test. At Q1 leverage, headroom would be 15.2%. The revolver drawn balance rose to \$6.3M of \$10.0M.

Follow-ups

1. Request management's cost plan with the Q2 package.
2. Revisit watchlist if leverage headroom falls below 10% after the Q2 step-down.
3. Keep watching revolver usage.